

Luxury good taxation proposals

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1 Introduction

There are strong economic reasons (reviewed briefly below) for why taxing luxury goods at a higher rate than other goods will raise social welfare. However, if countries decide individually on their luxury good taxes then there are strong tax competition forces pushing luxury good taxation down. For portable luxury goods, countries have an incentive to lower luxury good taxes to attract and retain shoppers, thereby gaining other indirect tax revenue from their spending on other goods and services. For non-portable luxury goods that are taxed based on residence (e.g. luxury cars), there is an incentive for countries to lower the tax rate in order to attract more (internationally mobile) high earners. In the case of the post-Brexit abolition of VAT refunds in the UK, these spillover effects became very visible for the case of portable luxury goods whose sales shifted substantially to other countries, including continental Europe.

This suggests that luxury good taxes are promising as an EU own resource, given that such a common tax could correct a distortion created by tax competition. Even if individual EU countries find it optimal for themselves to not introduce luxury good taxes, they might still find it in their interest to vote in favor of a EU-wide luxury tax, given that this will prevent them from losing shoppers or residents to other EU countries. Put differently, each EU country benefits from other EU countries' luxury good taxation via more increased shoppers/residents displaced to them. Thus voting for an EU-wide luxury tax is more attractive.

However, countries who internalize large parts of the profit that luxury good firms make, be it because their citizens own them or because they reap corporate income tax from them, might find it optimal to vote against a luxury good tax as a new EU own resource, at least if the money ends up in the general EU budget. We therefore propose adding a spending requirement whereby member states would be allowed to earmark the tax revenue that they collect to different international funds recognized to be eligible via a EU-wide qualified majority vote with all member states. Since the countries bearing the highest incidence from the tax (because of having the luxury firms owned by their citizens or headquartered in their country) will now typically have the most revenue to earmark, making it more attractive for them to vote in favor of the proposal.

2 The global case for taxing luxury goods at higher rates than other goods

Luxury good consumption is correlated with high wealth and income. If wealth and income were taxed at the optimal progressive level then under some assumptions the case for differentiated commodity taxation disappears (Kaplow 2016). However, given that the progressivity of wealth and income taxation has been eroded due to tax competition for the internationally mobile high earners and wealthy, luxury good taxation can partially mitigate this lack of progressivity.

A further rationale for taxing luxury goods arises due to status and signaling effects. In the case of some luxury goods, there is strong evidence that a part of the motivation for purchasing the goods is derived from the information that it reveals to others (e.g. about the consumer’s wealth/income, about the person’s commitment in case of a gift). This information revelation still happens when the tax on the luxury goods gets increased. In the extreme case of a ”pure diamond good” (Ng) where the information revelation is the only motive, any increase in the tax is beneficial as it achieves that the same function (information transmission) with less resources. In the more realistic case of an impure diamond good where the information transmission motive co-exists with the intrinsic enjoyment of the good there exists an optimal tax rate.

It turns out that for empirically plausible elasticity values, the optimal tax rate on luxury goods under the impure diamond good model is close to an alternative model in which the welfare effects of the signalling/status effect are fixed-sum, i.e. that there is overall a fixed amount of status to go around.

From Xie (2026, forthcoming), we obtain for this case the following simple formula for the optimal tax t_{luxury} on luxury as a function of the tax $t_{othergoods}$ prevailing on other goods, the prevailing markups and the status parameter ϕ which give how many dollars a person derives as status benefits per dollar spent on a luxury good:

$$1 + t_{luxury} = (1 + t_{othergoods}) \frac{1}{1 - \phi} \frac{1 + markup_{othergoods}}{1 + markup_{luxury}}$$

We obtain the result $t_{luxury} = 0.42$ for the following estimates from Xie (2026):

$$t_{othergoods} = 0.18, \phi = 1/3, markup_{othergoods} = 0.12, markup_{luxury} = 0.4$$

Under this calibration, we thus obtain that the luxury good should be taxed at 42%. This calculation has not taken into account the other rationales (beyond status effects) for taxing luxury goods.

3 The self-interested case for the EU to tax luxury goods at higher rates than other goods

[will be added soon]

Tax instrument	Roles
VAT refund abolition	reduce smuggling incentives make luxury rate for VAT administratively cheaper
Luxury rate for VAT (or ad valorem luxury excise)	internalize status externalities redistribution compensating for erosion of progressivity redistribution compensating for erosion of capital tax external effects in production

Table 1: Caption

4 Tax reform proposals

4.1 Abolishing the VAT refunds

Currently, non-EU residents can get a full refund for their purchases of luxury goods in the EU when they return to their country of residence. This leads to high margins for people who smuggle luxury goods back to e.g. China to resell it there. Given that it is costly to extensively audit travelers, there are strong incentives for people to not declare their purchases to the customs, thereby evading the high taxes, particularly in China. This has led the Chinese government to reduce its luxury good tax rates in an attempt to reduce the incentives for smuggling.

This suggests that by abolishing the VAT refunds for departing non-residents, the EU could enable other countries like China to tax luxury goods at the rate that they deem appropriate, thereby benefiting them. Moreover, the current smuggling industry constitutes a waste of resources.

Abolishing the VAT refund would require unanimity by EU member states.

4.1.1 Revenue Potential

[will be added soon]

4.2 Introducing an elevated luxury good VAT rate or an ad valorem luxury excise

If the VAT refund was abolished then adding a luxury good VAT rate would be administratively cheap. For this, it would be necessary to change EU rules which currently restrict the number of different non-zero VAT rates to 2. Alternatively, an ad valorem luxury excise could be introduced.

Each of the changes (VAT refund abolition, additional luxury VAT rate, EU-wide luxury VAT or ad valorem luxury excise) requires unanimity among EU member states.

4.2.1 Revenue Potential

[will be added soon]

5 EU-wide luxury taxes with earmarking for international funds

Abolishing the VAT refunding cannot be done legally by individual member states. It requires unanimity among member states. Ad valorem luxury excises can be introduced by member states individually. For the quantitatively important category of portable consumer luxuries (watches, jewellery, handbags, fashion, art) there is quite intense tax competition between EU member states for mobile luxury shoppers. Such mobile luxury shoppers generate VAT revenue from their on site spending, benefiting the respective government.

This international spillovers suggest that there might be aggregate gains for EU member states to jointly increase luxury good taxes even if it is not in the individual interest of any country to do this individually. This motivates the proposal to introducing a new EU-wide ad valorem luxury excise. Empirically calibrated modeling (Xie 2026, forthcoming) suggests that there are already some unilateral economic gains from introducing luxury taxes. However, the collective economic gains are much larger.

The introduction of such a new ad valorem luxury excise requires unanimity between member states. For this it is, other things equal, valuable if the revenue raised creates large collective benefits. Thus it could be the case that imposing the rule that all the luxury tax revenue be earmarked to fund EU spending on EU-wide international public goods could actually make it more likely that all member states vote for it. However, some member states might bear a relatively high burden from the tax, while deriving a relatively low benefit from the EU spending. This provides a motivation for the following proposal:

Definition 1. *The "EU-wide luxury tax scheme with individual earmarking to international funds" (in short: the "tax and earmark scheme") is defined as follows: A set of goods is classified as luxury goods (e.g. via methods commonly used in China, India and other countries, e.g. based on a threshold for the per item price). There is a set of tax rates. All EU member states are obliged to apply these luxury taxes and earmark the entire revenue to eligible international funds.*

The set of eligible funds is updated as follows: at any time, any EU member state can nominate any international fund for a vote. If a qualified population-weighted majority of EU member states vote for the international fund then it gets recognized as eligible, otherwise not.

5.1 Examples of possible international funds

5.1.1 A fund to repay the EU debt

This simple fund would simply forward any money it receives to repay the EU debt.

5.1.2 Jurisdictional reward funds for renewable energy expansion within the EU

Such a fund would reward governments if the ratio of renewable energy expansion to GDP exceeds some universal threshold and each kw of renewable expansion of this threshold would be rewarded at the same rate.

Other valuable international funds could include other jurisdictional reward funds (JRFs) for policies or outcomes for climate change mitigation (e.g. for cross border electricity transmission line expansion), but also JRFs for other global public goods like pandemic prevention and preparedness.

5.2 Incentives to vote for the "EU-wide luxury tax scheme with individual earmarking to international funds"

Each member state will value different international funds differently. Under the tax-and-earmark scheme, each country can decide on which international fund to earmark the revenue. Typically, the countries collecting the most tax revenue also bear the greatest tax burden. Thus the fact that they also get to decide on the corresponding amount of revenue allocation makes the costs and benefits more balanced than in the traditional setup where EU own resources get allocated centrally by the EU. This will make it more likely that the scheme will garner unanimous support from EU member states.

5.3 Effects on the political debates

Under this architecture of an EU-wide tax-and-earmark scheme and voting on fund eligibility, criticism against any international fund can be productively channeled into the design and evaluation of alternatives. Countries could individually set up new international funds and then convince other countries that it is in their interest to vote in favor of these funds to be added to the set of those eligible to receive funding via the tax-and-earmark scheme. International funds generating a lot of benefits per dollar spent would most likely garner the support to clear the qualified majority threshold in the eligibility vote.

The architecture could mitigate international externalities while preserving the sovereignty inherent in the right to earmark the tax revenue to any of the eligible international funds. This could reduce the risk of resentment against the EU.